BEFORE THE NATIONAL COMPANY LAW TRIBUNAL,

PRINCIPAL BENCH

NEW DELHI

Company Petition No. (CAA)-82/PB/2018

Connected with

Company Application No.CA (CAA)64/PB/2017

Judgment dated: 26.02.2019

Coram:

CHIEF JUSTICE (Rtd.) SHRI M.M. KUMAR,

HON'BLE PRESIDENT

&

MR. PRADEEP SETHI

MEMBER (TECHNICAL)

In the matter of:

Sections 230-232 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF AMALGAMATION

AMONGST

REVOLUTIONARY REALTORS PRIVATE LIMITED

..... Applicant Company No. 1 / Transferor Company

TAMANNA DEVELOPERS PRIVATE LIMITED

..... Applicant Company No. 2 / Transferee Company

For the Applicants: Mr. Abhishek Nahta, CA & Mr Sameer Gupta, Advocate

ORDER

M.M. KUMAR, PRESIDENT

1. This Joint application has been filed by the Petitioner Companies under Sections 230 to 232 of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 and the National Company Law Tribunal Rules, 2016, for the purpose of the approval of the Scheme of Amalgamation. The copy of the Scheme has been placed on record.
2. A perusal of the petition discloses that initially the First Motion application seeking dispensation from convening the meeting of Shareholders and Creditors was filed before this Bench and based on such joint application moved under Sections 230-232 of the Companies Act, 2013, this Tribunal vide its order dated 31.05.2018 issued directions to dispense with convening the meetings of secured and unsecured creditors of the

companies. On 14.06.2018 the Petitioners were directed to carry out publication in the newspapers English Daily 'Business Standard' (Delhi edition) as well as in Hindi Daily 'Business Standard' (Delhi edition). In addition thereto notices were directed to be served on the Regional Director (Northern Region), Registrar of Companies, NCT of Delhi and Haryana, Official Liquidator, the Income Tax Department and to the other relevant sectoral regulators.

3. It is seen from the records that the Petitioners have filed an affidavit dated 23.07.2018 affirming compliance of the order passed by the Tribunal dated 14.06.2018. A perusal of the affidavit discloses that the petitioners have effected the newspaper publication as directed in English Daily 'Business Standard' (Delhi Edition) as well as in Hindi Daily 'Business Standard' (Delhi Edition) on 06.07.2018 in relation to the date of hearing of the petition. Further, the affidavit also discloses that copies of petition were duly served on the Registrar of Companies, Regional Director, Northern Region and Income Tax Department in compliance of the order and in proof of the same acknowledgement by the respective offices have also been placed on record.

4. The Regional Director has filed its representation dated 03.08.2018 and has observed that, firstly, the Scheme violates of Section 230(10) of the Companies Act, 2013. Second observation is that the company should

undertake to pay the fees on its authorized capital subsequent to the amalgamation. Thirdly, the RD has stated that a statutory due was lying unpaid as on 31.03.2017 under the Income Tax Act 1961 in respect of a demand of Rs. 79,308/-. Fourthly, it is observed that the transferor company holds 100% shares of the transferee company but no MGT-6 is filed by the Transferee Company. Fifth, during the financial year 2016-17, the transferor company was required to spend Rs. 10,28,114 for CSR under Section 135 of the Companies Act, 2013. But the company spent nothing and the reason stated is flippant, i.e. no project was finalized. The company and its officers should first get the offence compounded under section 441 of the Companies Act, 2013. Sixth, it is submitted that the Transferor Company is an NBFC but functioning without a registration certificate from the RBI under Section 451 A of the RBI Act, 1934. This fact is not even disclosed in the Scheme, hence, violating section 230(2)(a) of the Companies Act, 2013.

5. In response of the aforesaid observations of the Regional Director, the petitioner companies filed their a rejoinder affidavit dated 17.09.2018 and submitted that firstly, with respect to observation of Regional Director as given in paragraph 8, a reference is invited to Section 230(10) of the Companies Act, 2013:

"Section 230(10) of the Companies Act

No compromise or arrangement in respect of any buy-back of securities under this section shall be sanctioned by the Tribunal unless such buy-back is in accordance with the provisions of section 68."

It is submitted by the petitioners that *Para 10.4.1 of the scheme provides that 'As a result of the allotment in the manner specified herein above, if an Equity Shareholder of the Transferor Companies becomes entitled to any fractional coupons / s of equity share of the Transferee Company then such shareholder will not be allotted any fractional shares instead the Transferee Company will pay such shareholders amount in cash at a price of equity share of Transferor Companies as determined while arriving at the Swap Ratio. Accordingly, on the basis of Share Valuation Report if any equity shareholder of the Transferor Company is entitled to any fractional shares in the Transferee Company, such shareholder will not be allotted any share but shall only receive the net sale proceeds in respect of its fractional entitlement as determined above.*

Section 68 of the Companies Act, 2013 provides for the power of the Company to purchase its own securities. Payment of cash for fractional shares will not in any way amount to purchase of its own shares by the company. Thus, it is submitted there is no violation of Section 230(10).

Secondly, the transferee company has undertaken that per Section 232(B)(i) the Transferee Company will pay the applicable fee, if any, on its authorized capital subsequent to the amalgamation.

Thirdly, a sum of Rs.79,308/- (seventy nine thousand three hundred and eight only) which had been lying unpaid under the Income Tax Act 1961 has been paid

by the Transferee Company. A copy of the challan of payment of the same has been placed on record. Fourthy, the Transferee Company has filed the MGT-6 on 28th August, 2018. The copy of the Form MGT-6 along with the challan is placed on record.

Fifth, it is submitted that there has been no violation of the Section 135 of The Companies Act, 2013. Section 135(5) states that

> *"the Board of every company referred to in sub-section (1), shall ensure that the company spends, in every financial year, at least two percent of the average net profits of the company made during the three immediately preceding financial years, in pursuance of its Corporate Social Responsibility Policy:*
>
> *Provided that the company shall give preference to the local area and areas around it where it operates, for spending the amount earmarked for Corporate Social Responsibility activities:*
>
> *Provided further that if the company fails to spend such amount, the Board shall, in its report made under clause(o) of sub-section(3) of section 134, specify the reasons for not spending the amount.*
>
> The company has disclosed the reason for not spending the amount in its Board Report. A total of Rs. 35,00,000/- (thirty five lakhs only) has been paid subsequently on 25th February, 2018 for CSR which includes the amount of Rs.10,28,114 which was to be paid in the year 2016-2017.

A copy of the cheque amounting Rs. 35,00,000/- issued in favor of Saurabh Seva Sansthan [an organization currently engaged in the construction of a world class hospital in Ghaziabad (U.P.) for the treatment and betterment of handicapped people] has been placed on record.

Sixth, it is submitted the Company Revolutionary Realtors Private Limited is not an Non-Banking Financial Company as 50% of its total assets are not financial assets.In its financial statements out of Rs.60,00,00,000 (sixty crore only) Rs. 35,00,00,000 (thirty five crore only) is advance against property. This has also been disclosed in Note No.7 of the financial statement of 2016-17. In financial statement of 2016-2017 of Nakshatra Residency Private Limited in note 5, Rs. 35,00,00,000 (thirty five crore only) has been shown as advance against plot sale. Hence, it is submitted that the company is not an NBFC and does not violate the provisions of Section 45-IA of the Reserve Bank of India Act, 1934.

6. The Official Liquidator has filed a report on 17.08.2018 wherein it has been stated that he has not received any complaint against the proposed Scheme from any person/ party interested in the scheme in any manner and that the affairs of the Applicant Companies do not appear to have been conducted in a manner prejudicial to the interest of its members, creditors or public interest.

7. It is pertinent to note that vide order dated 30.10.2018, the Income Tax Department was given one last opportunity to file observations. Despite that no observation by the Income Tax Department has been filed. According to Section 230(5) of the Companies Act, 2013, a representation is required to be made within 30 days and if it is not been done then "*it shall be presumed they have no representations to make on the proposals.*" Accordingly, more than enough time has been given to the income tax department to file its objections so as to protect the interests of the revenue, yet no representations have come forward. Thus, it is presumed in law that the income tax department has no objections to offer.

8. In the joint petition it has also been affirmed that no proceeding for inspection, inquiry or investigation under the provisions of the Companies Act, 2013 or under provisions of Companies Act, 1956 are pending against the Petitioner Companies.

9. Certificates of respective Statutory auditors of both the petitioner companies have been placed on record to the effect that Accounting Treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standard notified by the Central Government as specified under the provisions of Section 133 of the Companies Act, 2013.

10. In view of the foregoing, upon considering the approval accorded by the members and creditors of the Petitioner companies to the proposed Scheme, and the affidavits filed by the Regional Director, Northern Region, Ministry of Corporate Affairs and the report of official liquidator, there appears to be no impediment in sanctioning the present Scheme. Consequently, sanction is hereby granted to the Scheme under Section 230 & 232 of the Companies Act, 2013. The Petitioners shall however remain bound to comply with the statutory requirements in accordance with law.

11. Notwithstanding the above, if there is any deficiency found or, violation committed qua any enactment, statutory rule or regulation, the sanction granted by this court to the scheme will not come in the way of action being taken, albeit, in accordance with law, against the concerned persons, directors and officials of the petitioners.

While approving the Scheme as above, we further clarify that this order should not be construed as an order in any granting exemption from payment of stamp duty, taxes including income tax, GST etc or any other charges, if any, and payment in accordance with law or in respect of any permission/compliance with any other requirement which may be specifically required under any law.

12. **THIS TRIBUNAL DO FURTHER ORDER(S):**

(A) WITH RESPECT TO TRANSFEROR COMPANIES AND TRANSFEREE COMPANY

1. That the Transferor Companies stands dissolved without being wound-up; and

2. That all the property, rights and powers of all the Transferor Companies, be transferred without further act or deed, to the Transferee Company and accordingly the same shall pursuant to Section 232 of the Act, be transferred to and vest in the Transferee Company for all the estate and interests of the Transferor Companies therein but subject nevertheless to all charges now affecting the same; and

3. That all the liabilities and duties of the Transferor Companies be transferred without further act or deed, to Transferee Company and accordingly the same shall, pursuant to Section 232 of the Act, be transferred to and become the liabilities and duties of the Transferee Company; and

4. That all proceedings now pending by or against the Transferor Companies be continued by or against the Transferee Company; and

5. That all the employees of the Transferor Companies in service, if any, on the date immediately preceding the date on which the scheme takes effect, i.e. the effective date shall become the employees of the Transferee Company on such date without any break or interruption in service and upon terms and conditions not less favourable than those subsisting in concerned Transferor Companies on the said date.

6. That Petitioner companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Company for registration and on such certified copy being so delivered the Transferor Companies shall be dissolved and the Registrar of Company shall place all documents relating to the Transferor Companies registered with him on the file kept by him in relation to the Transferee Company and the files relating to all the petitioner companies shall be consolidated accordingly.

Any person interested shall be at liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

The petition stands disposed of in the above terms.

Sd/-

(M.M. KUMAR) 26.02.2019
PRESIDENT

Sd/-

(PRADEEP R. SETHI)
MEMBER(T)

(Vidya)

NOTE

Pronounced today in open court in pursuance of power under Rule 151 of NCLT Rules, 2016.

26/2/19.

Nirmala Vincent

Court Officer